

In addition to quarterly reports on profits and margins, companies on the LTSE would report using innovation accounting on their internal entrepreneurship efforts. Like Intuit, they would report on the revenue they were generating from products that did not exist a few years earlier. Executive compensation in LTSE companies would be tied to the company's long-term performance. Trading on the LTSE would have much higher transaction costs and fees to minimize day trading and massive price swings. In exchange, LTSE companies would be allowed to structure their corporate governance to facilitate greater freedom for management to pursue long-term investments. In addition to support for long-term thinking, the transparency of the LTSE will provide valuable data about how to nurture innovation in the real world. Something like the LTSE would accelerate the creation of the next generation of great companies, built from the ground up for continuous innovation.

IN CONCLUSION

As a movement, the Lean Startup must avoid doctrines and rigid ideology. We must avoid the caricature that science means formula or a lack of humanity in work. In fact, science is one of humanity's most creative pursuits. I believe that applying it to entrepreneurship will unlock a vast storehouse of human potential.

What would an organization look like if all of its employees were armed with Lean Startup organizational superpowers?

For one thing, everyone would insist that assumptions be stated explicitly and tested rigorously not as a stalling tactic or a form of make-work but out of a genuine desire to discover the truth that underlies every project's vision.

We would not waste time on endless arguments between the defenders of quality and the cowboys of reckless advance; instead, we would recognize that speed and quality are allies in the pursuit of the customer's long-term benefit. We would race to test our vision but not to abandon it. We would look to eliminate waste not